Armenia's need to upgrade their customs infrastructure.[158] As Alexander Cooley and Rilka Dragneva and Kataryna Wolczuk show, members of the EEU are likely to demand side-payments for their "geopolitical loyalty" to Russia and continue to struggle against infringements on their sovereignty by Moscow in pursuit of its regional hegemonic role.[159]

Putin resorted to a concerted campaign using both sticks and carrots,[160] such as economic embargoes and promises of hefty financial loans, to compel then-President Viktor Yanukovych to bring Ukraine into Russia's economic orbit against the will of Ukrainians. Putin finally brought Yanukovych around, but this sparked the Maidan revolt, Yanukovych's rapid exit in February 2014, and Putin's shift to military intervention. The resulting sanctions war between Russia and the West, in which Moscow expected the support of its EEU partners, underscored instead the strength of their concerns for their own sovereignty and economic incentives to sidestep Russia's retaliatory embargo on many Western food products.

After a period in which sanctioned EU products were reexported into Russia by landlocked Belarusian producers as their domestic merchandise, including French cheese and Norwegian salmon and oysters, Russia reinstalled border controls, challenging the free movement of goods in the customs union. Conversely, the weaker ruble gave a price advantage to Russian products in Belarusian and Kazakh markets, prompting those countries to resort to temporary protectionism.[161]

This pattern of unilateral economic statecraft underscores the priority that Russia puts on its regional dominance in Eurasia, and the range of instruments that it is prepared to use to get its way, from coercion and sanctions to offering bribes and economic inducements to its targets, which have had only limited success, and less than in the 1990s.[162] By comparison, China not only has greater resources to invest, but also is more likely to engage the region with positive inducements than with coercion. Russia's pattern of unilateral economic statecraft meshes with the political economy of Putin's crony/state capitalist regime but is less successful regionally.

Russia's highest aspirations for the EEU include developing the ruble as the dominant regional currency, an idea that Russian leaders keep recycling without any success. Several members of the Russian government, including Putin and Medvedev, pointed to a rise in trade and growing use of